been excluded from the debt and liabilities of the Government of India. The NSSF loans to FCI for covering the food subsidy have also been excluded from the liability of the Government of India, which does not appear to be correct. However, in terms of pure difference in the estimation of debt and liabilities of the Government of India, the Budget papers overestimate the liabilities.

Finally, the Status Paper adds liabilities of Rs 0.9 lakh crore represented by fully serviced bonds, or FSBs, to the government's liabilities. The government did acknowledge in the Budget papers that there were some liabilities outside CFI and the Public Account. The Statement on Liabilities, in a footnote, stated, 'In addition to above, government liabilities on account of Extra Budgetary Resources (government fully serviced bonds), at the end of FY 2018–19 were Rs 89,864.10 crore, which was about 0.47 per cent of GDP.'

The net effect of these three adjustments—addition of Rs 2.43 lakh crore for undervaluation of external debt, reduction of Rs 7.43 lakh crore of NSSF investments in state government securities and loans to other public agencies and addition of Rs 0.9 lakh crore of FSBs—totals Rs 4.1 lakh crore, which is the exact difference between the debt and liability as per the Budget papers and the Status Paper.

Government of India Debt is Almost All Domestic

India's public debt is primarily domestically funded. Internal debt in 2018–19 was Rs 70.75 lakh crore, or as much as 96.32 per cent of the public debt. External debt, the debt raised by the government from all non-residents, including multilateral and bilateral institutions, was only Rs 2.70 lakh crore, or 3.68 per cent. Even if one takes into account the current value of external debt, which was Rs 5.13 lakh crore in 2018–19, the proportion of external debt in the public debt of India goes up to only 6.76 per cent.